

NOV 24 1943

My dear Cordell,

In late June the State Department received cables from Bern, Switzerland, relating to a proposal of the World Jewish Congress to evacuate thousands of Jews from Rumania. The necessary funds would be paid to Rumanian officials in local currency by well-to-do Rumanian merchants who would be reimbursed at black market rates either in dollars or Swiss francs either to be blocked or held in trust for them until after the war. The entire operation was to be directed from Switzerland by an agent of the World Jewish Congress who would work through underground channels with prominent members of the Jewish Congress in Rumania. Later information received indicated that the program would also be applicable to the evacuation of Jews from France.

On July 16 your Department was advised that the Treasury was prepared to license subject to your approval the necessary transactions on the following conditions: A blocked account would be established in the United States by the American Jewish Congress for reimbursement of those persons who advanced funds in connection with the evacuation of the Jewish refugees from Rumania and France. No funds would be paid from such account until the end of the war but portions of it would be earmarked from time to time in the name of the individuals who had actually advanced funds under the proposal. Under the plan no foreign exchange would be made available to the enemy.

On August 7, 1943 you advised me that the Treasury itself was entirely free to act on this matter and to grant the necessary licenses if it should so desire. Accordingly, a cable was despatched to Bern stating that the Treasury was prepared to issue an appropriate license and setting forth the conditions of such license.

Copies to: Messrs. Luxford
11/26/43 Pehle
Schmidt
Fox
Miss Hodel

(File received 11/26 - initialed copies to Mrs. Chatfield 11/26) FILE COPY